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SALE OF GOODS

The body of English laws introduced following the amalgamation of Southern and Northern Nigeria includes Statutes of General Application in force in England as of January 1, 1900. One such statute is the Sale of Goods Act, 1893, which continues to primarily govern sale of goods contracts in Nigeria.

It Is essential to understand that contracts for the sale of goods are a subset of general contract law. As such, all the fundamental principles of contract law—such as offer, acceptance, consideration, and the intention to create legal relations—must also be satisfied for a sale of goods contract to be valid. ----

DEFINITION

According to **SECTION 1(1) of the SALE of GOODS ACT, 1893:**

- “A contract of sale is a contract where a seller transfers or agrees to transfer the property in goods to the buyer for a money consideration called the price.”

This definition highlights two key additional elements that distinguish a sale of goods contract from other contracts. The key elements of a sale of goods contract are: goods, and money consideration :

1. Goods – There must be tangible or intangible movable items being dealt with.
2. Money Consideration (Price) – The goods must be exchanged for a monetary value.

Furthermore, the Act recognizes two forms of sale transactions:

1. Contract of Sale: This occurs when the property in the goods is transferred immediately from the seller to the buyer.
2. Agreement to Sell: Here, the transfer of property in the goods is to take place at a future date or upon the fulfillment of certain specified conditions. **SECTION 1(4) of the SALE of GOODS ACT (SGA), 1893** describes an agreement to sell as a contract in which the transfer of property in the goods is to take place at a future time or subject to certain conditions to be fulfilled. It becomes a sale when the time elapses or the conditions are fulfilled, resulting in the transfer of ownership to the buyer.

It Is noteworthy that **SECTION 1(3) of the SGA, 1893** also acknowledges or recognizes the fact that a contract for the sale of goods can take the form of two distinct transactions:

1. A sale (where ownership passes immediately), and

2. An agreement to sell (where ownership is to pass at a later date or subject to certain conditions).

CHARACTERISTICS & FORMALITIES of a CONTRACT for the SALE of GOODS

From the definition, contracts of sale of goods have the following features:

1. Two Distinct Parties: A valid contract of sale must involve two separate and identifiable parties — the buyer and the seller.
2. A sale Nature of the Contract: A contract for the sale of goods may be an immediate SALE, where the property in goods transfers instantly, or an agreement to sell, where the transfer is deferred or conditional.
3. A sale of goods contract may be made in writing (either with or without seal), done orally, or partly in writing and partly oral, or may be implied from the conduct of the parties. This is expressly provided for in **SECTION 3 of the SGA, 1893**.
4. The subject matter of the contract must be goods. **SECTION 5 of the SGA** states it clear that the goods forms the subject-matter of sale of goods contract. They may be existing goods or future goods.
5. The consideration for a sale of goods (that is, the price) must be money.
6. There must be a proper transfer of property/legal ownership of the goods to constitute a sale, or an agreement to transfer property/legal ownership for an agreement to sell.

DISTINCTION BETWEEN A SALE AND AN AGREEMENT TO SELL

A Sale occurs where the ownership of the goods is transferred from the seller to the buyer at the time of the contract. Therefore, the property in goods which is the subject matter of a contract of sale passes to the buyer at the time the contract is made. On the other hand, where the ownership of the goods is to be transferred at a future date or is subject to some conditions to be fulfilled, the contract is called an agreement to sell. However, **SECTION 1(4)** provides that an agreement to sell becomes a sale when the time elapses or the conditions, subject to which the property in the goods is to be transferred, are fulfilled.

The following are the differences between a sale and an agreement to sell:

1. Transfer of Property or Ownership:
This is immediate in the making of a sale. The property in the goods (not mere possession) passes to the buyer from the seller who ceases to be the owner of the goods. On the other

hand, in an agreement to sell, property does not pass to the buyer. It only creates a right for either party to sue the other for any default in fulfilling his/her part of the agreement.

2. Passing of Risk:

The law here aptly (appropriately) related with the expression 'risk generally passes with property' by virtue of **SECTION 20 of the SGA** which states that: "unless otherwise agreed, the goods remain at the seller's risk until the property in the goods is transferred to the buyer, but when the property therein is transferred to the buyer, the goods are at the buyer's risk whether delivery has been made or not.

Also, the maxim '*res perit domino*' which simply means "the thing is lost to the owner" is applicable here. This maxim is used to express that when a thing is lost or destroyed without the fault of any of the parties, the thing is lost to the person who was the owner of it at the material time. Accordingly, in a Sale, the loss is borne by the buyer whether delivery has been made or not. On the other hand, the loss will be borne by the seller even where the goods are in the buyer's possession (in an agreement to sell).

However, It should be noted that where delivery has been delayed through the fault of either the buyer or the seller, the goods are at the risk of the party at fault as regards any loss which might not have occurred but for such fault. This position of the law is expressly stated in **SECTION 20 of the SGA, 1893.**

3. Effect of Breach:

In case of a sale, where the buyer neglects or refuses to pay the price of the goods, the seller can sue for the price even though the goods are still in his (seller's) possession. On the other hand, if the seller fails to deliver the goods or wrongfully disposes of them, the buyer may exercise his proprietary rights in respect of the goods by suing the seller for the tort of detinue or of conversion as the case may be. However, in an agreement to sell, where the buyer fails to accept and pay for the goods, the seller can only sue for damages and not for the price even though the goods are in the buyer's possession. The seller may, in addition, sue for detinue or conversion in tort and to recover the goods since he owns the property in them. On the other hand, if the seller fails to deliver the goods or wrongfully disposes of them, the buyer can only sue for damages for breach of contract.

Detinue := Wrongful detention of goods

Conversion := Depriving someone of his property either by damaging it or keeping it away from the owner.

4. Where a Buyer is Adjudged Insolvent Before Payment:

In a Sale, the seller will be required to deliver up the goods to the official receiver, reason being that property in the goods have passed to the buyer (i.e., the buyer owns the goods). The seller can thereafter sue the buyer for the price of the goods.

In the case of an agreement to sell on the other hand, the seller may refuse to deliver the goods to the official receiver unless they have been paid for.

5. Where Price has Been Paid and the Seller is Adjudged Insolvent before Delivery:

Here, the buyer under a Sale would be entitled to sue for the goods since he owns the property in them. For an agreement to sell however, because the property in the goods still rests with the seller, the buyer can only sue to recover the money he paid.

6. Right of Resale:

In view of the time property passes under the two arrangements, a seller in possession of the goods under an agreement to sell can resell the same goods to a third party. However, a seller in a sale has no right to resell. However, he may sell and convey good title to a third party who is oblivious (unaware) of the previous sale. In this latter case, the original buyer can sue the seller for damages for breach of contract and for conversion in tort.

CONTRACT OF SALE DISTINGUISHED FROM OTHER TRANSACTIONS

A contract of sale is sometimes confused with other types of transactions that appear to be contracts for sale of goods, but are in fact not so. It is therefore necessary to identify these other types of contract because the Sale of Goods Act, 1893 applies only to contracts of sale. Thus, sale of goods is distinguishable from some other commercial transactions that are contextually similar:

1. Sale and Exchange:

The provision of the **SECTION 1(1) of the Sale of Goods Act, 1893** is clear that a sale involves the transfer of property in goods for a money consideration called the price. On the other hand, an exchange involves the transfer of goods for other goods. A contract of exchange simply means the giving of goods to a person in exchange for the other person's goods. Thus, money which is an essential element that must be the consideration present in a contract of sale is not involved in a contract of exchange.

2. Sale and Bailment:

A bailment is a transactional arrangement under which goods are delivered by one party (the bailor) to another (the bailee) on certain specified terms, which generally provide that the bailee is to have possession of the goods and is subsequently to return same either to the bailor himself or to deal with them (the goods) in a manner that the bailor may direct or instruct. Therefore, unless otherwise arranged or agreed, the property in the subject matter of bailment does not pass on delivery but remains in the bailor. In a sale, on the other hand, the property in the goods always passes unto the other party in the transaction (ie, the buyer). In **SOUTH AUSTRALIAN INSURANCE CO V RANDELL (1869)**, a farmer left corn with a miller on terms that he could at any time claim the return of the same quantity of corn or its market value: the court held this to be a transfer of property to the mill owner and that the agreement was not a contract of bailment. This position of the law was also held in the case of **CHAPMAN BROS v VERCO BROS AND CO LTD.** (similar facts).

3. Sale and Gift:

Ordinarily, there is no difficulty in distinguishing between a sale and a contract to a gift. A gift, unlike a sale, is a voluntary and gratuitous transfer of property from one person to another without any consideration and as such, it is not binding while it remains executory unless made by deed. In **ESSO PETROLEUM Ltd v COMMISSIONERS OF CUSTOMS AND EXCISE (1974)**, a garage's free gift of a special 'World Cup' coin to customers who would buy four gallons of petrol was found not a gift since the garage was contractually bound to supply the coin to anyone buying four gallons of petrol.

4. Sale and Hire Purchase:

Contracts of hire purchase resemble contracts of sale very closely, and in practically all cases of hire-purchase, the ultimate sale of the goods is the real object of the transaction. However, in a legal sense, the distinction between them is clear and extremely important. As we have already seen, a sale is a contract whereby the seller transfers or agrees to transfer the property in goods to the buyer. A contract of hire-purchase, on the other hand is a bailment of the goods coupled with an option to purchase them which may or may not be exercised. It is only when the option is exercised that a hire-purchase agreement is converted to a contract of sale.

A contract of sale involves two parties; the buyer and the seller, whereas contracts for hire-purchase involves three parties; the owner of the goods (who sells the goods to a finance company, which in turn lets the goods on hire-purchase to the hirer (who may or may not become the buyer). In **HELBY v MATTHEWS (1895)**, the issue arose as to whether the hirer had bought or agreed to buy the piano or he had only agreed to hire it. The house of lords held that the hirer had not agreed to buy the piano at the outset. Although he had an option to buy the piano by paying the full instalments or return it, the hirer only has possession of, and a

possessory title to the goods and only acquires ownership when he/she pays the past and full installments. In a sale however, ownership of the goods is transferred immediately, whether or not with possession.

5. Contract of Sale and Contracts of Skill and Labor:

In **ROBINSON v GRAVES**, it was stated that whether a transaction is a contract of sale or contract of skill and labor will depend on the circumstances of each case. If the product is the substance, it is a contract of sale. For instance, if a picture dealer engages an artist to paint a picture which the dealer then sells in the ordinary course of business, there is a contract of sale of goods. On the other hand, if the product is ancillary, then it is one of skill and labour. For instance, if a person who is not a picture dealer commissions an artist to paint a portrait, the contract is not a sale but one of skill and labor.

ELEMENTS PECULIAR TO A CONTRACT OF SALE OF GOODS

The elements peculiar to a contract of sale of goods as seen in definition are:

1. The Price; and
2. Goods

The Price:

In a sale of goods contract, there must be a money consideration called the price. This is provided for by virtue of **SECTION 1(1) of the SALE of GOODS ACT, 1893**. In other words, the consideration for the goods must be money. This usually includes any form of payment except trading by barter. This therefore, distinguishes a contract of sale of goods from an exchange. An exchange is the transfer of goods for the other person's goods. In **MOSS v HANCOCK**, the court defined money as:

"that which passes freely from hand to hand throughout the community in final discharge of debts or full payment for commodities, being accepted equally without reference to the character or credit of the person who offers it and without the intention of the person who receives it to consume it or apply it to other use than in turn to tender it to others in discharge of debt or payment of commodities".

Thus, it could be payment by credit card, cheque, bank draft, etc. It is of interest to note that the SGA does not define price. Rather, it makes provision for its ascertainment. This is provided for by virtue of **SECTION 8 of the SGA**. It provides:

8(1)- **"The price in a contract of sale may be fixed by the contract, or may be left to be fixed in manner thereby agreed, or may be determined by the course of dealing between the parties".**

In the case of **MAY & BUTCHER Ltd v R**, the Court was of the view that it is a perfectly good contract to say that the price is to be settled by the buyer. But since the parties failed to agree as directed in their agreement, the Court held that there was no contract.

However, in **FOLEY v CLASSIQUE COACHES**, the court held that three years of dealing between the parties indicated that a binding contract existed between them.

By **SECTION 8(2) of the SGA**:

"where the price is not determined in accordance with the provisions of Sec 8(1), the buyer must pay a reasonable price".

What is a reasonable price will depend on the circumstances of each particular case. It was held in **MATOCO Ltd v SANTE Fe DEVELOPMENT Co Ltd**, that the burden is on the seller to prove that the price he demands is reasonable.

The price can equally be fixed by the valuation of a third-party by virtue of **SECTION 9 of the SGA, 1893**.

Goods:

Goods are the subject matter of all contracts of sale. Goods are defined in **SECTION 62(1) of the SGA** as:

"all chattels personal (other than things in action and money); emblements; industrial growing crops and things attached to or forming part of the land which are agreed to be severed before sale or under the contract of sale".

From the above definition, it is evidently clear that there are various categories or types of goods, they include:

1. Chattels personal (other than things in action and money): These are tangible goods (that is, goods which can be touched). E.g: Cars, spoon, watches, clothes, a goat, furniture etc. From the definition, things in action are categories of interest in assets the enforcement of which are secured by the use of court processes. Money here includes current currency and excludes antique coin and money that are regarded as curiosities. The Court of Appeal attempted a classification of chattels in the case of **BERENDE v USMAN**.

2. Emblements: It comprises of crops and vegetables such as corn, potatoes, etc, produced by the labor of a man and ordinarily yielding a present annual profit. In other words, the term covers crops which are planted and harvested annually e.g yam, cassava, corn, maize, potato etc.

3. Industrial Growing Crops or non-food Crops: These are perennial plants (that is, plants that last more than a year) grown to produce goods for manufacturing. E.G: rubber, timber etc.
4. Things attached to or forming part of the land which are agreed to be severed before sale or under the contract of sale.

CLASSIFICATION OF GOODS

SECTION 5 of the SGA states that:

1. The goods which form the subject of a contract of sale may either be existing goods, owned or possessed by the seller, or goods to be manufactured or acquired by the seller after the making of the contract of sale. In this Act called 'future goods'.
2. There may be a contract for the sale of goods, the acquisition by the seller of which depends upon a contingency (something which may or may not happen).
3. Where by a contract of sale, the seller purports to effect a present sale of future goods, the contract operates as an agreement to sell the goods.

Thus, from the above, goods may be classified according to the following:

1. Existing goods or future goods
2. Specific goods or unascertained goods

- Existing Goods & Future Goods

1. Existing goods: These are tangible goods that are owned and possessed by the seller at the time of the Contract. In other words, they are goods actually in existence at the time the Contract is made. Existing goods may either be specific or unascertained.

2. Future goods: These are goods not yet produced or existing goods that the seller has no title to or is yet to acquire at the making of the Contract of sale. They may be unascertained or, if sufficiently identified, may be specific goods. In the case of **HOWELL v COUPLAND**, a sale of 200 tons of potatoes to be grown on a piece of land was held to be a sale of specific goods despite the fact that they were not existing goods.

- Specific Goods & Unascertained Goods

1. Specific (or Ascertained) Goods: As stated in **SECTION 62 of the SGA**, specific goods are goods that are identified and agreed upon at the time the contract of sale is made. For example, "those ten cans of fish you bought yesterday".

2. Unascertained Goods: These are also known as generic goods or goods sold by description. They are goods that are not identified or agreed upon at the time of the contract but which are included in a particular class of goods - e.g. '100 bags of cement from your warehouse' or '12 tons of grade one Cocoa', etc. In the case of **KURSELL v TIMBER OPERATORS & CONTRACTORS Ltd**, the plaintiff sold the defendant "all trees of merchantable value" in a forest. The contract was to run for a period of 15 years; the forest became expropriated long before the expiration date. The seller sued for the price but had to prove that property had passed. The court held that property in the trees had not passed as the goods were insufficiently identified at the time of the contract.

Expropriate =:To deprive a person of their property